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Recommended Lending Products Report

Personal loans · vehicle finance · home finance

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FUTURE TECHNOLOGIES

Contents

1. Executive Summary 2
2. Pakistan's Consumer Finance Landscape 3
2.1. Key Consumer Finance Products 3
2.2. Macroeconomic Environment 3
2.3. Key Challenges in Consumer Lending 4
3. Data and Methodology 4
4. Dashboard Insights 5
4.1. How large is the consumer finance market? 5
4.2. What is the real growth after inflation? 6
4.3. Who is currently serving the market? 7
4.4. Which bank types focus on consumer finance? 8
5. Product Evaluation for a Digital Retail Bank 9
5.1. Product Comparison 9
5.2. Product Fit Matrix 10
6. Recommendation 10
6.1. Recommended Product: Digital Personal Loans 10
6.2. Why Not Auto or Home Finance First 11
6.3. Additional Opportunities 11
7. Limitations 11
8. Conclusion 12

1. Executive Summary

Pakistan’s consumer finance market presents a significant opportunity for a Digital Retail Bank (DRB), as lending to individuals remains relatively limited despite substantial demand for personal and household financing. Between 2020 and 2025, the consumer finance market increased from PKR 683.3 billion to PKR 956.9 billion, representing a nominal CAGR of 7.0%. However, after adjusting for inflation, the market contracted by approximately 6.9% annually, highlighting the impact of high inflation, interest rates and regulatory restrictions on consumer lending.

The market is highly concentrated, with the top five banks holding 60.7% of total consumer finance in 2025. Conventional and Islamic commercial banks account for 64.9% of the market, while microfinance banks and digital banks demonstrate a stronger focus on consumer lending relative to their advances. Notably, Easypaisa Bank recorded annual consumer finance growth of 36.2% between 2020 and 2025, indicating the potential for digital lending models.

An evaluation of personal loans, auto finance and home finance identified digital personal loans as the most suitable starting product for a new DRB, achieving the highest product fit score of 4.35 out of 5. Their shorter tenors, lower operational complexity, digital compatibility and relatively stable growth make them more suitable for an initial lending portfolio. Auto finance, despite its 35.5% recovery in 2025, carries higher volatility and operational requirements, while home finance involves longer funding commitments and property-related processes.

The recommended approach is to launch with digital personal loans, introduce auto finance in the second phase and expand into home finance at a later stage. Credit cards and Buy Now Pay Later (BNPL) can provide additional lending opportunities, while Shariah-compliant digital personal financing represents a potential competitive gap in Pakistan's Islamic banking market.

Overall, the findings indicate an opportunity for a focused digital lender to address underserved consumer segments through accessible, technology-driven lending. However, limited public data, incomplete bank-level disclosures and the use of estimated figures for certain institutions should be considered when interpreting the market results.

2. Pakistan's Consumer Finance Landscape

Consumer finance refers to loans extended to individuals for personal and household needs rather than for business purposes. In Pakistan it is a relatively small part of total bank lending, which remains dominated by corporate and government-related borrowing. As a result, a large share of salaried and self-employed individuals still has limited access to formal credit.

2.1. Key Consumer Finance Products

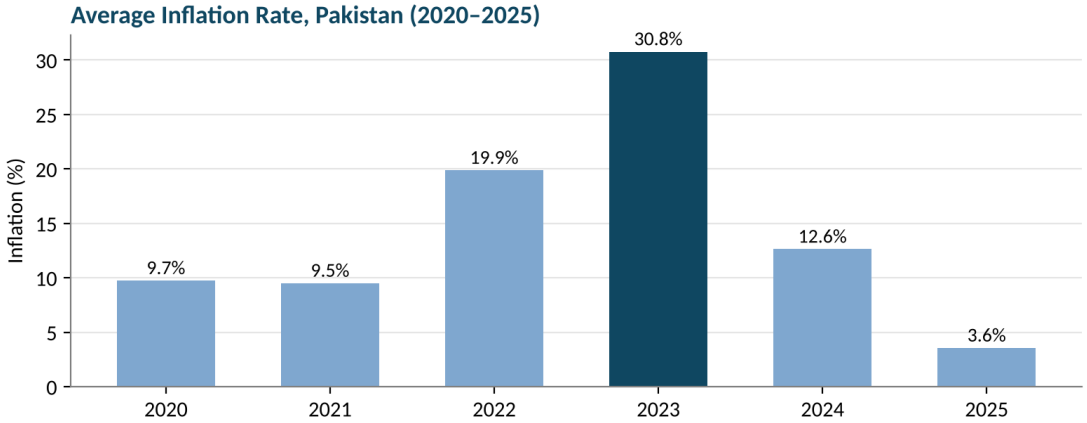
This report covers the four main consumer finance products offered by Pakistani banks:

- **Personal loans:** unsecured loans, usually for salaried individuals, used for household expenses, education, medical needs and emergencies.
- **Auto finance:** secured loans for purchasing cars and motorcycles, typically repaid over several years.
- **Home finance:** long-term loans for purchasing, building or renovating a house, with tenors that can extend to 15–20 years.
- **Credit card financing:** revolving credit that allows customers to make purchases and repay over time.

2.2. Macroeconomic Environment

Macro environment refers to the external forces within an economy. Macro environment factors like inflation, fiscal policy, monetary policy, consumer spending, GDP, and employment rates considerably affect business operations.

The 2020–2025 period was one of the most difficult for Pakistan's consumers in recent decades. Average inflation rose from **9.7% in 2020 to 19.9% in 2022 and 30.8% in 2023**, before easing to 12.6% in 2024 and **3.6% in 2025**. Over the full period, the general price level roughly **doubled**.



To control inflation, the State Bank of Pakistan (SBP) raised the policy rate to a peak of about 22%. As inflation fell, the SBP cut rates aggressively during 2025, bringing the policy rate down toward 11%. Lower rates reduce monthly instalments for borrowers and are a key reason for the recovery in consumer lending seen in 2025.

2.3. Key Challenges in Consumer Lending

1. **High interest rates and inflation.** Rising borrowing costs and falling real incomes reduced both the demand for loans and borrowers' ability to repay.
2. **Regulatory tightening.** In 2022 the SBP introduced stricter rules on consumer and auto financing, including shorter loan tenors, higher down payments and lower debt-burden limits, to reduce import demand and cool the economy.
3. **Limited credit histories.** Many potential borrowers, particularly self-employed and informal-sector workers, have little or no formal credit record, which makes risk assessment difficult for traditional banks.
4. **High cost of serving small loans.** Branch-based processing makes small-ticket lending expensive, so traditional banks tend to focus on larger, lower-risk corporate borrowers.

Impact: These factors explain why consumer finance has lost ground in real terms and why most commercial banks treat it as a marginal activity. At the same time, they leave a gap that a low-cost digital lender is well placed to fill.

3. Data and Methodology

The analysis uses a dataset (Personal_Loans_Estimation) covering **39 banks over six years (2020–2025)**, giving 234 bank-year records. The dataset has three parts:

Dataset	Content	Records
Bank data	Advances, total assets, total deposits and consumer finance (PKR Bn) for each bank, with bank type	234
Product data	Industry-wide personal loans, home finance, auto finance and credit card financing (PKR Bn)	6
Inflation data	Average annual inflation rate for Pakistan	6

The data was checked for missing values, duplicates and negative values; none were found, and every bank appears once in each year. Column names were standardized before analysis. The following measures were calculated:

- **Year-on-year (YoY) growth** for each product and each bank.
- **Compound annual growth rate (CAGR)** for 2020–2025.
- **Real growth**, using a price index built from annual inflation (2020 = 1) to express values in 2020 prices.
- **Market share** and **concentration** (top five and top ten banks) for 2025.
- **Consumer finance as a share of advances**, to measure how focused each bank or bank type is on consumer lending.
- **Volatility**, measured as the standard deviation of annual growth rates, as an indicator of risk.
- A **weighted product fit score** assessing how suitable each product is for a new digital bank.

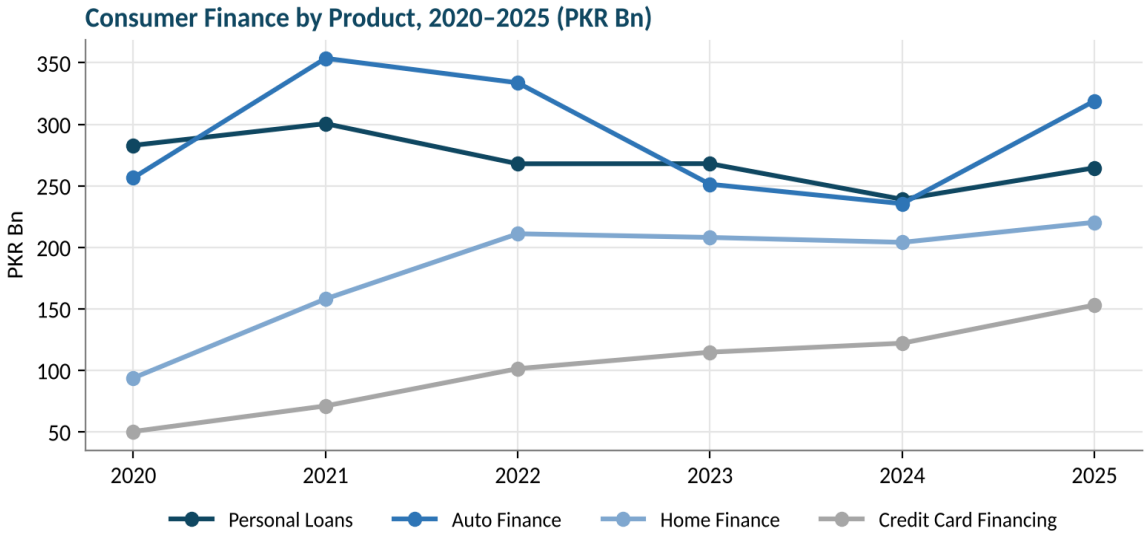
4. Dashboard Insights

4.1. How large is the consumer finance market?

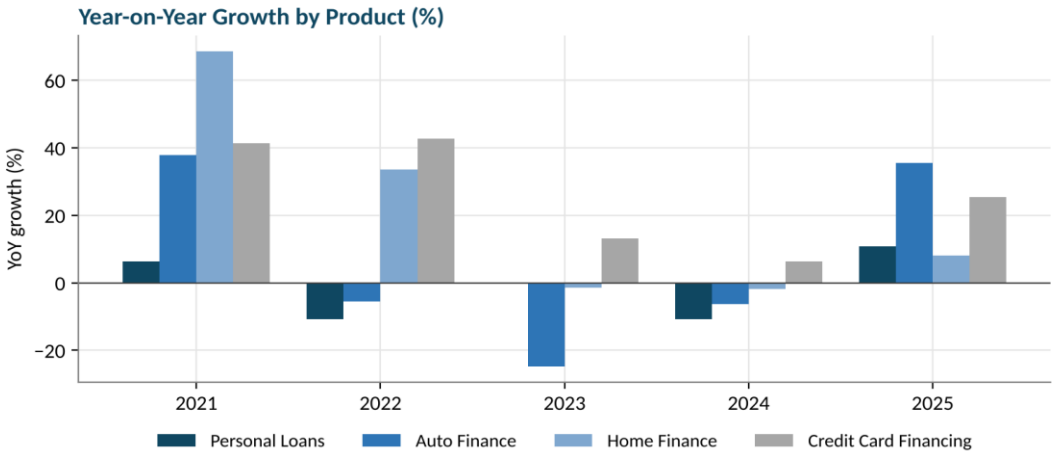
As per the data collected the total consumer finance across the four products grew from **PKR 683.3 billion in 2020 to PKR 956.9 billion in 2025**, a nominal CAGR of **7.0%**. Growth was not steady: the market rose strongly in 2021, flattened in 2022, contracted in 2023 and 2024, and recovered in 2025.

Product	2020	2021	2022	2023	2024	2025	CAGR
Personal Loans	282.9	300.5	267.9	268.0	239.0	264.6	−1.3%
Auto Finance	256.5	353.6	333.8	251.3	235.5	319.0	4.5%
Home Finance	93.7	158.0	211.0	208.0	204.0	220.3	18.6%
Credit Card Financing	50.2	71.0	101.3	114.7	122.0	153.0	25.0%
Total	**683.3**	**883.2**	**914.0**	**842.0**	**800.5**	**956.9**	**7.0%**

Values in PKR billion.



The product mix has shifted significantly. Personal loans fell from 41.4% of the portfolio in 2020 to 27.7% in 2025, while home finance rose from 13.7% to 23.0% and credit card financing from 7.3% to 16.0%. Auto finance is now the largest single product at 33.3%.



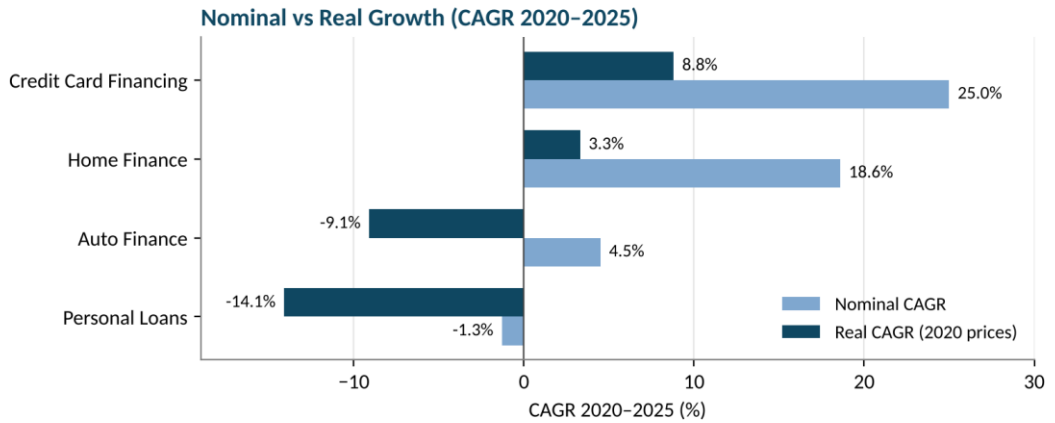
Auto finance was the most cyclical product. It grew 37.9% in 2021, then fell for three consecutive years (−5.6%, −24.7% and −6.3%) due to SBP restrictions, high interest rates and soaring car prices. In December 2024, auto financing stood at around PKR 235 billion, down 6.3% from a year earlier. In 2025, as rates fell, it rebounded by 35.5%. Credit card financing grew in every year, while personal loans fell in 2022 and 2024 before recovering 10.7% in 2025.

4.2. What is the real growth after inflation?

Because prices roughly doubled between 2020 and 2025, nominal figures overstate the true expansion of consumer lending. Adjusted to 2020 prices, the total market fell from PKR 683.3 billion to about **PKR 478.0 billion**, a real decline of about **6.9% a year**.

Product	Nominal CAGR	Real CAGR	2020 value	2025 value (2020 prices)
Credit Card Financing	25.0%	8.8%	50.2	76.4
Home Finance	18.6%	3.3%	93.7	110.0
Auto Finance	4.5%	−9.1%	256.5	159.4
Personal Loans	−1.3%	−14.1%	282.9	132.2

Values in PKR billion. Real values are calculated using a price index based on average annual inflation (2020 = 1).



Only credit card financing and home finance grew in real terms. **Personal loans suffered the largest real decline**, more than halving in real value. This reflects a contraction in **supply**, driven by tighter regulation

and high rates, rather than a lack of demand: as soon as inflation and interest rates eased in 2025, personal lending started growing again.

4.3. Who is currently serving the market?

Bank-level consumer finance totaled **PKR 958.8 billion** in 2025. The market is **highly concentrated**: the top five banks account for **60.7%** and the top ten for **80.3%**, leaving the remaining 29 banks with less than a fifth of the market.

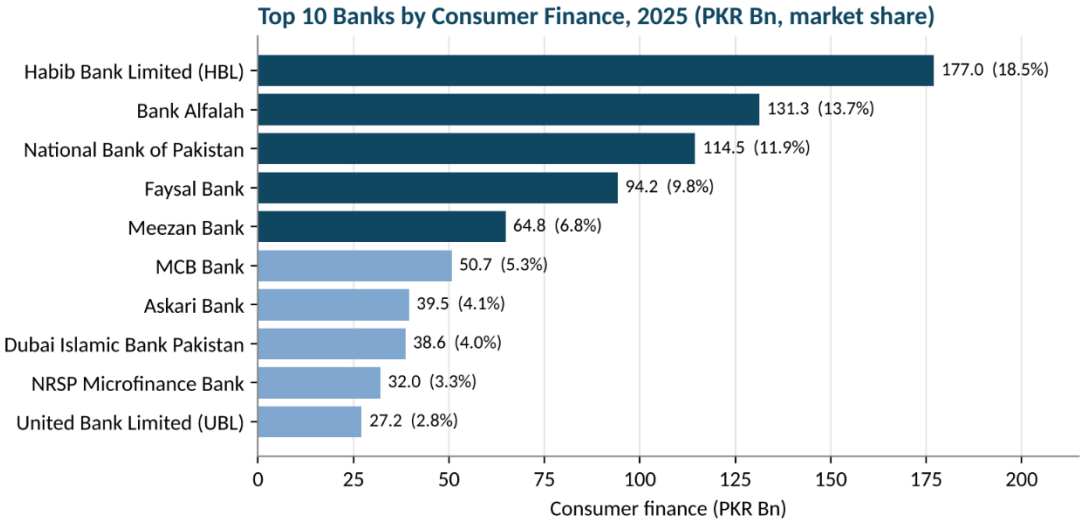
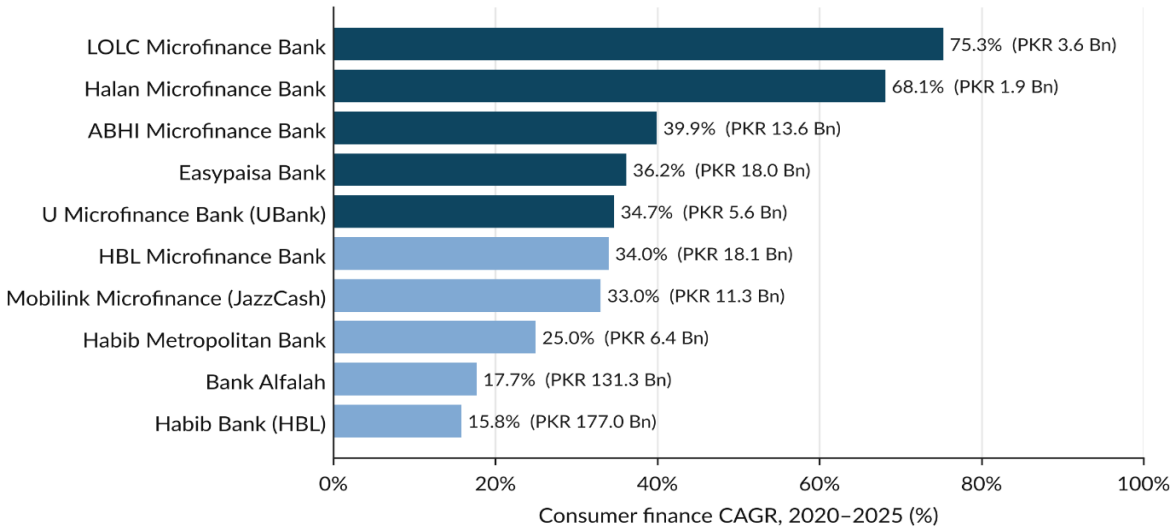


Figure 5: Top 10 banks by consumer finance, 2025

Habib Bank Limited (HBL) is the largest consumer lender with **PKR 177.0 billion** (18.5% share), followed by **Bank Alfalah** (PKR 131.3 billion) and the **National Bank of Pakistan** (PKR 114.5 billion). **NRSP Microfinance Bank** is the only microfinance bank in the top ten, with PKR 32.0 billion.

Top 10 Banks by Consumer Finance Growth, 2020–2025 (CAGR %)



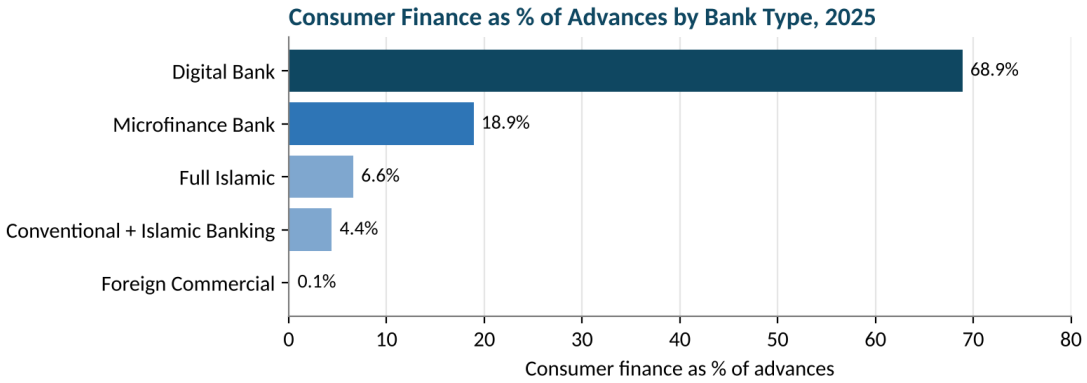
Digital and microfinance banks are the fastest-growing consumer lenders. Seven of the ten banks in this chart are microfinance or digital banks, and all of them grew their consumer finance books by more than 33% a year between 2020 and 2025, nearly three times the industry average of 11.9%.

- **Easypaisa Bank**, the only digital bank with lending, grew **36.2% a year** to PKR 18.0 Bn, about the same size as HBL Microfinance Bank.
- **LOLC (75.3%) and Halan (68.1%)** recorded the highest growth, but from very small bases. Their books are still under PKR 4 Bn.
- **Bank Alfalah (17.7%) and HBL (15.8%)** are the only large lenders in the top 10. They hold the biggest books (PKR 131.3 Bn and 177.0 Bn) but grow at about half the pace of digital and microfinance banks.

4.4. Which bank types focus on consumer finance?

Market share shows **scale**, but the share of advances given to consumer finance shows **focus**. On this measure, the picture is reversed.

Bank type	Consumer finance (PKR Bn)	% of advances	Market share
Conventional + Islamic Banking	622.0	4.4%	64.9%
Full Islamic	221.8	6.6%	23.1%
Microfinance Bank	96.4	18.9%	10.1%
Digital Bank	18.0	68.9%	1.9%
Foreign Commercial	0.6	0.1%	0.1%



Conventional banks hold almost two-thirds of the market, but consumer finance is **only 4.4% of their loan books**. They are large consumer lenders because they are large banks, not because consumer lending is a priority.

The industry as a whole lends only about **46% of its deposits**, showing that banks have significant liquidity that is not being directed to individual borrowers. This confirms a clear gap in the market that a focused digital lender can serve.

5. Product Evaluation for a Digital Retail Bank

5.1. Product Comparison

Credit card financing is closely linked to personal lending and is treated as an add-on. The three main lending products were compared on growth, risk and recovery:

Product	2020	2025	Nominal CAGR	Real CAGR	Volatility	2025 growth
Personal Loans	282.9	264.6	−1.3%	−14.1%	9.8%	10.7%
Auto Finance	256.5	319.0	4.5%	−9.1%	27.9%	35.5%
Home Finance	93.7	220.3	18.6%	3.3%	30.1%	8.0%

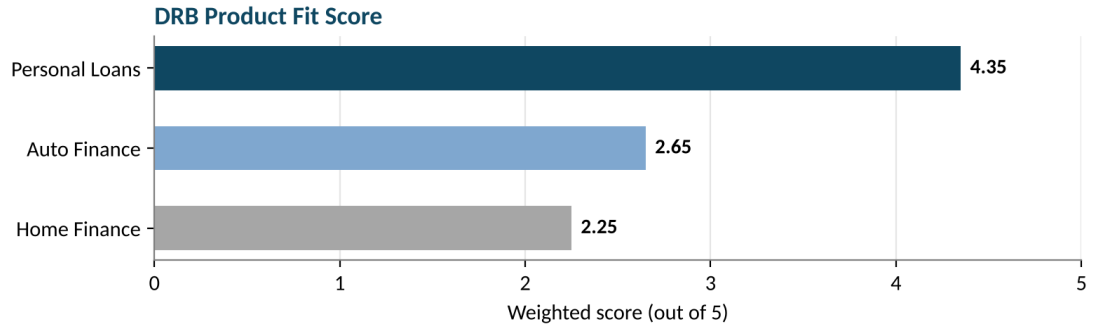
Values in PKR billion. Volatility is the standard deviation of annual growth rates.

Personal loans are by far the **most stable** product (volatility 9.8%), while auto and home finance are around three times as volatile. Auto finance has the strongest recent momentum, and home finance has the strongest long-term real growth.

5.2. Product Fit Matrix

Each product was scored from 1 to 5 on five factors that matter for a new digital bank, and the scores were combined using the weights below.

Factor	Weight	What it measures	Personal	Auto	Home
Digital ease	25%	Can the product be delivered fully through an app?	5	3	1
Short tenor	20%	Does the loan term match a new bank's short-term deposits?	5	3	1
Low risk	20%	How stable is the product (based on volatility)?	4	2	2
Market gap	20%	How underserved is the segment by existing banks?	5	3	4
Real growth	15%	Growth after inflation	2	2	4
Total score	**100%**		**4.35**	**2.65**	**2.25**



Digital personal loans score highest (4.35 out of 5). They can be delivered entirely through an app, need no collateral or dealer network, have short tenors and are the least volatile product. Their only weakness is negative real growth, which reflects reduced supply rather than weak demand.

6. Recommendation

6.1. Recommended Product: Digital Personal Loans

Based on the analysis, the DRB should **launch with digital personal loans**, add **auto finance** in the second phase and introduce **home finance** later. The reasons for starting with personal loans are:

1. **Best Digital Compatibility:** Personal loans can be offered through a fully digital process, including application, verification, approval and disbursement, reducing the need for physical branches.
2. **Shorter Loan Tenure**: Compared with home and auto finance, personal loans generally have shorter repayment periods, making them more suitable for a new bank managing its funding and liquidity.
3. **Lower Operational Complexity:** Personal loans do not require property valuation, vehicle inspections or dealer partnerships, making product launch and management simpler.

4. **More Stable Performance**: Personal loans showed relatively lower growth volatility than other products, making their performance more predictable.
5. **Strong Market Opportunity:** Consumer finance remains a relatively small part of conventional banks' lending portfolios, creating an opportunity for a digital bank to serve underserved borrowers.

6.2. Why Not Auto or Home Finance First

- **Auto Finance:** Recovered strongly in 2025 (+35.5%), but its high volatility (27.9%) and reliance on dealer partnerships and vehicle prices make it more complex for a new digital bank to launch.
- **Home Finance:** Recorded positive real growth (+3.3%), but requires long-term funding (15–20 years), property verification and significant capital, making it more suitable for a later phase.

6.3. Additional Opportunities

Credit cards and BNPL: Credit card financing is the fastest-growing product (25.0% nominal CAGR) and one of only two with positive real growth. A digital card or Buy Now Pay Later option can be offered alongside personal loans to the same customer base.

Islamic digital lending: The two Islamic digital banks, Raqmi Islamic Digital Bank and Mashreq Bank Pakistan, had no lending activity in 2025. A Shariah-compliant digital personal loan would therefore face almost no direct digital competition, while full Islamic banks already hold 23.1% of the consumer finance market.

7. Limitations

- **Limited Public Data:** Detailed banking and consumer finance data is not consistently available publicly in Pakistan.
- **Incomplete Disclosure:** Several banks do not publish detailed product-level lending figures.
- **Estimated Figures:** Some consumer finance figures, particularly for microfinance banks, are estimates due to limited data availability.
- **Inconsistent Reporting:** Data formats and disclosures vary across banks and years.
- **Limited Product Transparency:** Bank-wise breakdowns of personal, auto and home finance are not consistently available.

8. Conclusion

Pakistan's consumer finance market has grown in nominal terms since 2020, but after adjusting for inflation it has shrunk by about 6.9% a year. High inflation, high interest rates and tighter regulation reduced the supply of consumer credit, particularly personal loans, which lost more than half of their real value. Lending remains concentrated among a few large banks for which consumer finance is a marginal activity.

The environment is now changing. Inflation has fallen to 3.6%, interest rates have been cut sharply, and consumer lending returned to growth in 2025. The success of Easypaisa Bank and the microfinance banks shows that a lender focused on small-ticket, digitally delivered consumer finance can build a viable business.

For a Digital Retail Bank, the opportunity is therefore both real and timely. **Digital personal loans** offer the best entry point because of their:

- large unmet demand and low competition from conventional banks,
- stability and short tenor, and
- suitability for fully digital, collateral-free delivery.

Ultimately, the DRB should adopt a phased, digitally driven lending strategy, beginning with personal loans and gradually expanding into other consumer finance segments. This approach would support controlled growth, manageable lending risks and the development of a competitive position in Pakistan's evolving digital banking market.

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